

A STEADY RISE

- One of the major factors fuelling prices is geopolitical instability
- Inflation is another reason investors are shifting to the yellow metal



NOTE *TILL APRIL 8, 2025

SOURCE MCX

GOLD VS EQUITY: THE REAL WINNER

- Gold gave 32% returns last year compared to 5.3% rise in equities
- Over five years, equities have outperformed gold

BENCHMARK	1-YEAR	3-YEAR CAGR	5-YEAR CAGR	7-YEAR CAGR
NIFTY50	5.3%	10.4%	22.3%	12.9%
GOLD	32.4%	20%	16.7%	16.4%

NOTE DATA FOR FINANCIAL YEARS SOURCE MCX, ACE EQUITY

BALANCE OF FORCES

- When the Sensex-to-gold ratio is below one, equities tend to outperform in the following three years
- When the ratio is above one, gold tends to outperform equities over the next three years

SENSEX-TO-GOLD RATIO	EQUITY (3-YEAR FWD RETURN)			GOLD (3-YEAR FWD RETURN)		
	AVERAGE	MIN	MAX	AVERAGE	MIN	MAX
MORE THAN 1.40	5.61%	-1.77%	10.68%	25.39%	19.40%	29.99%
1.20 TO 1.40	7.78%	-16.99%	19.77%	18.84%	7.01%	35.42%
1.00 TO 1.20	11.71%	-15.74%	48.21%	14.31%	1.71%	36.03%
0.80 TO 1.00	15.95%	-12.06%	53.85%	12.27%	-1.04%	35.20%
LESS THAN 0.80	25.11%	5.79%	64.64%	7.20%	-9.95%	35.94%

NOTE SENSEX AND GOLD PRICE DATA SINCE JAN 1999

SOURCE EDELWEISS MF

tion remains: Does gold's rally still have room to run, or is a correction on the horizon?

SUSTAINABLE RALLY?

While gold's rally has been impressive, its sustainability is debatable. But Narne remains optimistic:

"Given the current global environment, we believe the overall trajectory for gold could remain upward."

Multinational investment bank and financial services company Goldman Sachs has revised its 2025 price forecast to \$3,300 per ounce, up from its previous \$3,100 estimate, with an expected range of \$3,250-3,520 per ounce.

Shanmuganathan Nagasundaram, an economist based in India, has drawn parallels between the 1970s and today. In the '70s, gold prices rose nearly 25 times to top at \$850 per ounce by 1980. That is a 25-fold return in 10 years; a similar performance would mean \$75,000 per oz by 2035. He says the next few years will determine if gold goes to that level, and at this point, it does look like a reasonable proposition. What is almost certain is the target of \$24,000 per oz, as explained in his book, *RIP USD: 1971-202X...and the Way Forward*, and that would still be a spectacular bull market.

However, several factors, like the US Fed's stance on interest rates, could impact gold's trajectory. Higher interest rates make bonds and fixed-income assets more attractive, potentially drawing investment away from gold. Moreover, if markets stabilise and equities regain investor confidence, gold may face intermittent corrections.

Then, experts say data shows a bull rally is generally followed by a sharp correction. "Over the past 22 years, every time gold delivered 40% returns over a 12-month period, its subsequent 12-month return has averaged at just 4%," notes Bajaj.

While gold may still have some momentum, returns could moder-